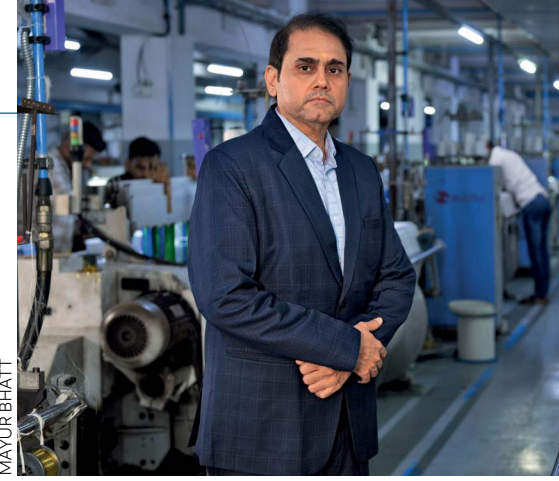
CASE STUDY

DINESH DHANKANI, 50
Reaghan Fashions, Surat
Revenue: Rs 1,750 cr.


MAYUR BHATT

In Sachin GIDC, a major industrial hub on the outskirts of Surat, Dinesh Dhankani is unsure of what to make of the India-US trade deal reducing tariffs on Indian goods to 18 per cent. "We have several legacy issues to take care of before we can be happy about these trade deals," he says.

Dhankani, whose firm has been manufacturing and trading in fabrics and yarns for fashion and allied industries since 1964, is grappling with a skills shortage, labour attrition among his 600 staff, and a lack of export competitiveness due to gaps in quality, compliance and training. His company's overseas business collapsed post-COVID due to tensions with Pakistan, instability in Bangladesh and unfavourable trade duties, forcing a complete shift to the domestic B2B market.

However, the strain comes from delayed payments, credit cycles, GST mismatches and regulatory gaps that lock up working capital. He proposes tightening of GST reporting—from a 180-day reversal to 90 days, and eventually 45 days—to enforce credit discipline and improve cash flow.

> **"WE HAVE SEVERAL LEGACY ISSUES TO TAKE CARE OF BEFORE WE CAN BE HAPPY ABOUT INDIA'S TRADE DEALS"**

Automation and high-speed AI-driven machines in Surat's textile industry could reduce his unit's labour dependence by 30-40 per cent, he admits. But the shortage of skilled operators continues. ■

with limited presence in MMF-based winter and technical segments," says Aman Peshawari, CEO of Noida-based garment and home furnishings manufacturer Meenu Creation. "This restricts participation in high-value markets." China, by contrast, built an integrated and highly competitive MMF ecosystem decades ago, enabling it to dominate global synthetic textile exports. Vietnam aggressively leveraged MMF manufacturing to integrate itself into global fast-fashion supply chains. India, meanwhile, remained tied to cotton.

Even India's cotton sector has begun showing signs of stress. "Cotton productivity has been declining," says Saket Jaipuria, director at Noida-based Ginni Filaments. Despite accounting for nearly 40 per cent of global cotton acreage, India's yield stands at only around 450 kg per hectare, compared with nearly 2,000 kg in several competing countries. To meet quality and export requirements, India has increasingly relied on imports of superior cotton, bringing in nearly 2 million bales annually. Yet these imports attract an 11 per cent duty. Government interventions, including the production-linked incentive scheme for MMF apparel and fabrics, have had limited impact. With initial investment thresholds as high as Rs 300 crore—later reduced to Rs 150 crore—the scheme largely benefited bigger firms, leaving out vast segments of the MSME-driven textile industry.

On May 5, the government approved the Mission for Cotton Productivity with an outlay of Rs 5,659 crore for 2026-31, aligned with its 5F vision—from Farm to Fibre to Factory to Fashion to Foreign. The mission is expected to benefit 3.2 million cotton farmers by distributing climate-smart, pest-resistant seeds, boosting incomes and helping standardise premium Indian cotton for global markets.

SCALE DISADVANTAGE

India's second major disadvantage lies in scale. Most factories operate with 100-500 machines, while competing factories in Bangladesh often run 2,000-5,000 machines under integrated facilities. Large global buyers prefer fewer suppliers capable of delivering high volumes within tight timelines and with consistent quality standards. Rajeev Gupta, CEO of Noida-based RSWM Ltd, says the scale mismatch is stark. Domestic orders typically run at 200,000-300,000 pieces per month, while international buyers often seek at least 1 million pieces at a time.

The problem is compounded by India's fragmented textile geography. "While cotton is largely grown in Gujarat and Maharashtra, yarn spinning mostly takes place in Tamil Nadu, fabric is processed in Gujarat or Maharashtra, and garment manufacturing is scattered nationwide," says Mithileshwar Thakur, secretary general of the Apparel Export Promotion Council. "This disaggregation increases logistics costs and hampers operational efficiency." China and Vietnam, in contrast, built highly integrated textile clusters where spinning, weaving, processing and garmenting operate within tightly linked industrial ecosystems. This reduces transportation costs, improves coordination and enables much faster turnaround times.

The third major hindrance is that India's technology deficit has widened over time. Arif Ansari, 70, who owns Mishi Fabrics in Bhiwandi, says